

What these stories do to us financially can be both fascinating and terrifying.

When I'm blind to parts of how the world works I might completely misunderstand why the stock market is behaving like it is, in a way that gives me too much confidence in my ability to know what it might do next. Part of the reason forecasting the stock market and the economy is so hard is because you are the only person in the world who thinks the world operates the way you do. When you make decisions for reasons that I can't even comprehend, I might follow you blindly into a decision that's right for you and disastrous to me. This, as we saw in chapter 16, is how bubbles form.

Coming to terms with how much you don't know means coming to terms with how much of what happens in the world is out of your control. And that can be hard to accept.

Think about market forecasts. We're very, very bad at them. I once calculated that if you just assume that the market goes up every year by its historic average, your accuracy is better than if you follow the average annual forecasts of the top 20 market strategists from large Wall Street banks. Our ability to predict recessions isn't much better. And since big events come out of nowhere, forecasts may do more harm than good, giving the illusion of predictability in a world where unforeseen events control most outcomes. Carl Richards writes: "Risk is what's left over when you think you've thought of everything."

People know this. I have not met an investor who genuinely thinks market forecasts as a whole are accurate or useful. But there's still tremendous demand for forecasts, in both the media and from financial advisors.

Why?

Psychologist Philip Tetlock once wrote: "We need to believe we live in a predictable, controllable world, so we turn to authoritative-sounding people who promise to satisfy that need."

*Satisfying that need* is a great way to put it. Wanting to believe we are in control is an emotional itch that needs to be scratched, rather than an analytical problem to be calculated and solved. The illusion of control is